RESTORING PROFITABILITY: PHASE 1 OF A TURNAROUND

NorthByte Airlines

First BYTE 2026

Cranky Coders

Executive Summary

Question

How can NorthByte return to profitability after its loss grew from **$22.2M to $58.4M** in one year, even as revenue hit a record?

Finding

Flights grew **20.3%** while ticket sales grew **5.2%**. Adding flights faster than demand explains more than the entire profit decline; fuel, crew and refunds are secondary.

Strategy

Right-size capacity on the weakest corridors first, then grow revenue, while keeping every community served

Actions

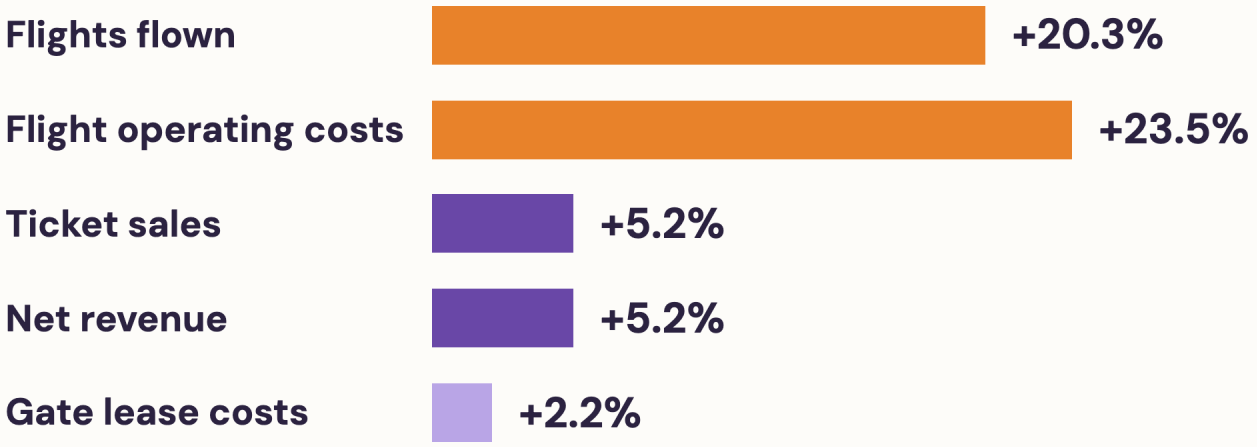
- **Reduce frequency on 4 loss-making corridors**
- **Bus partnerships on 3 short corridors**
- **Optional loyalty offers and seasonal pricing**

Impact

+$14.22M projected annual profit improvement from cost actions, up to **+$23.72M** if the pricing scenario is achieved. A first phase: NorthByte would still lose about $34.7M.

WHAT CHANGED, FY2024-25 → FY2025-26

Flights grew 4× faster than demand



Ticket sales = count of ticket transactions (178,433 → 187,718), a proxy for demand relative to flights, not seat occupancy.

PROFIT AFTER GATE LEASES

-$58.4M

from -$22.2M the year before; margin fell from -12.3% to -30.7%

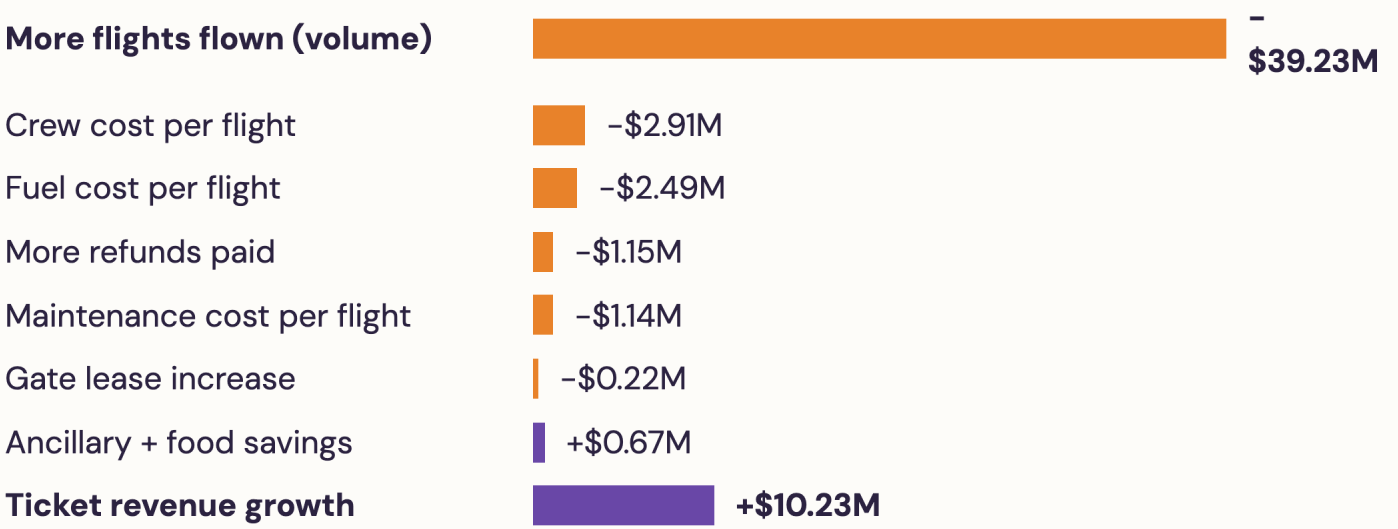
Revenue per flight **-12.6%** ($13,818 → $12,080)

Cost per flight **+2.7%** ($14,763 → $15,155)

WHY PROFIT FELL BY $36.2M

Flying more, not costlier flights

Profit bridge, FY2024–25 → FY2025–26 (impact on profit after gates)



Net change: -$36.24M (orange = hurts profit, purple = helps)

86%

of the $45.4M rise in flight costs comes from flying 2,657 more flights

COST PER FLIGHT CHANGE

Crew +4.1% · Fuel +3.1%
Maintenance +1.6% · Food −4.0%

WHERE THE EXPANSION WENT

New flights went to losing corridors

Corridor	Flights FY25 → FY26	Added	Profit change
Montreal–Vancouver	447 → 620	+173	-$11.71M
Halifax–Toronto	510 → 716	+206	-$5.56M
Montreal–Toronto	957 → 1,262	+305	-$4.66M
Ottawa–Toronto	1,595 → 2,100	+505	-$3.84M
Ottawa–Montreal	564 → 1,090	+526	-$1.87M
London–Toronto	630 → 1,064	+434	-$1.53M
Halifax–Moncton	288 → 668	+380	-$1.34M
These 7 corridors		+2,529	-$30.5M

Profit change = FY26 vs FY25 profit after gate costs, both directions combined

95%

of all flights added went to these 7 corridors, and they account for 84% of the profit decline

Example: Ottawa–Toronto added **505 flights** but gained only **$0.16M** in revenue

OPTIONS WE COMPARED

Why targeted cuts, not deep cuts

Option	Annual profit impact	Feasibility	Customers & communities	Decision
Remove all 12 loss-making corridors	+$48.6M to +$100.2M (0–80% of revenue kept)	Hard: large fleet and crew changes	7 airports lose all service, incl. Halifax, Ottawa, St. John's	Rejected
Drop Montreal–Vancouver entirely	+$25.4M (if 50% of revenue kept)	Medium: untested spare capacity via Toronto	Montreal loses its only direct link to Vancouver	Not yet: pilot
Raise fares across the network	Unproven: demand is already thin	Easy	Everyone pays more; may fly less	Rejected
Limit refunds to members	Small	Conflicts with refund promise	Unfair; hurts trust	Rejected
Targeted frequency cuts + bus partners	+$14.22M	Phased and reversible	Every community keeps service	Chosen

RECOMMENDATION 1 · MONTHS 1–3

Reduce frequency on four corridors

Corridor	FY26 flights	Cut	Removed	FY26 result
Montreal–Vancouver	620	30%	186	-$19.7M
Halifax–Toronto	716	20%	~143	-$9.1M
Halifax–Montreal	452	20%	~90	-$4.2M
Ottawa–Toronto	2,100	20%	420	-$7.2M
Total			~839	

WHY ROUTING VIA TORONTO SAVES MONEY

A Montreal–Vancouver flight costs about **$60.5K** and earns about **$28.7K**. Rebooked passengers fill seats on Montreal–Toronto and Toronto–Vancouver flights that already operate, so they add little extra cost. Direct service stays, at lower frequency.

+$10.98M

projected annual profit improvement

HOW WE GOT IT

$17.5M avoidable cost of the 839 flights, minus ticket revenue lost on them: about 70% of $9.2M, assuming ~30% of passengers rebook

RECOMMENDATION 2 · MONTHS 4–6

Partner with buses on short hops

Corridor	FY26 flights	Replaced (50%)	FY26 result
Ottawa–Montreal	1,090	545	-$3.9M
London–Toronto	1,064	532	-$3.9M
Halifax–Moncton	668	334	-$2.4M
Total		1,411	

Partner, don't buy: contract existing bus operators, sold on one NorthByte ticket

Still served: half the flights stay, so each city keeps air service

+$3.24M

projected annual profit improvement

HOW WE GOT IT

$6.9M avoidable cost of the replaced flights, minus up to $2.5M ticket revenue at risk, minus bus partner contracts. Today's losses are not the savings.

RECOMMENDATION 3 · MONTHS 4–12

Fill seats with fair offers and pricing

Optional loyalty offers

- Bonus points on low-demand flights
- Member seat upgrades and priority boarding
- Referral bonuses for new members
- Co-brand credit card partnership

Refunds stay the same for everyone.

Proposed goals: +10% member repeat bookings, +5% bookings from referrals, +10% enrollment. Each perk must earn more than it costs.

Seasonal pricing

- +5–10% on high-demand flights
- -5–10% on low-demand flights
- Guardrails to cap price swings

Fares change only twice a year (December and summer), while demand swings every month. February and April are the slowest.

+$9.5M

Scenario: 5% of $190M net revenue. A target, not a forecast.

IMPLEMENTATION

Pilot, measure, then expand

01 Months 1–3
Frequency pilot

Cut Montreal–Vancouver 30% for one season; offer discounted Toronto connections

Cut Halifax–Toronto, Halifax–Montreal and Ottawa–Toronto 20%

GO IF

Rebooking rate ≥30%, enough connecting-seat capacity, and positive net profit improvement

Protects the +$10.98M estimate

02 Months 4–6
Bus partners and loyalty

Sign bus partners; replace half the flights on Ottawa–Montreal, London–Toronto, Halifax–Moncton

Launch optional loyalty offers on test flights

GO IF

Bus connection reliability ≥95%, passenger retention ≥90%, and loyalty revenue above perk costs

Protects the +$3.24M estimate

03 Months 7–12
Pricing and efficiency

Seasonal pricing with guardrails; extend cuts to other weak routes only if the pilot works

Crew and aircraft scheduling; release idle gates at Jan 1 renewal

GO IF

Positive incremental corridor profit, controlled refund rates, and seasonal pricing that lifts net revenue

Unlocks the +$9.5M pricing scenario

WHAT COULD GO WRONG

Risks / Mitigation

Risk	Mitigation
Passengers reject connections; more revenue lost than modeled	One-season pilot, discounted connections, restore frequency if rebooking misses target
Not enough seats on Toronto legs (hub capacity)	Check spare seats per departure before rerouting; use larger aircraft, not more flights
Missed connections and bus delays	Minimum connection buffers, free rebooking, buses timed to flights
Crew hours fall on cut corridors	Redeploy to profitable routes, attrition first, early union consultation
Loyalty perks cost more than they earn	Test against comparable flights; keep only perks that pay for themselves
Seasonal pricing feels unfair	Price guardrails, explain fare factors, monitor complaints and sentiment
Gate costs stay even as flights fall	Release idle gates and renegotiate at the January 1 renewal

PROJECTED ANNUAL PROFIT IMPACT

How the numbers add up

Lever	Type	Annual impact	Basis
Frequency cuts (839 flights)	Cost saving, net	+$10.98M	$17.5M avoidable cost - ~70% of $9.2M ticket revenue
Bus partners (1,411 flights)	Cost saving, net	+$3.24M	$6.9M avoidable cost - revenue at risk - bus contracts
Base case	Data-backed	+$14.22M	Cost actions only
Seasonal pricing	Revenue scenario	+$9.5M	5% × $190M net revenue; demand may react
With pricing scenario		+$23.72M	Before loyalty perk costs
Operations and gates	Cost, not counted	up to $3.6M	Excluded: may overlap with route cuts

FY2025-26 profit after gates
-$58.4M

→

With base case
-$44.2M

→

With pricing scenario
-$34.7M

Phase 1 of a turnaround, not a full fix

Thank You!

Questions welcome · Cranky Coders

BACKUP FOR Q&A

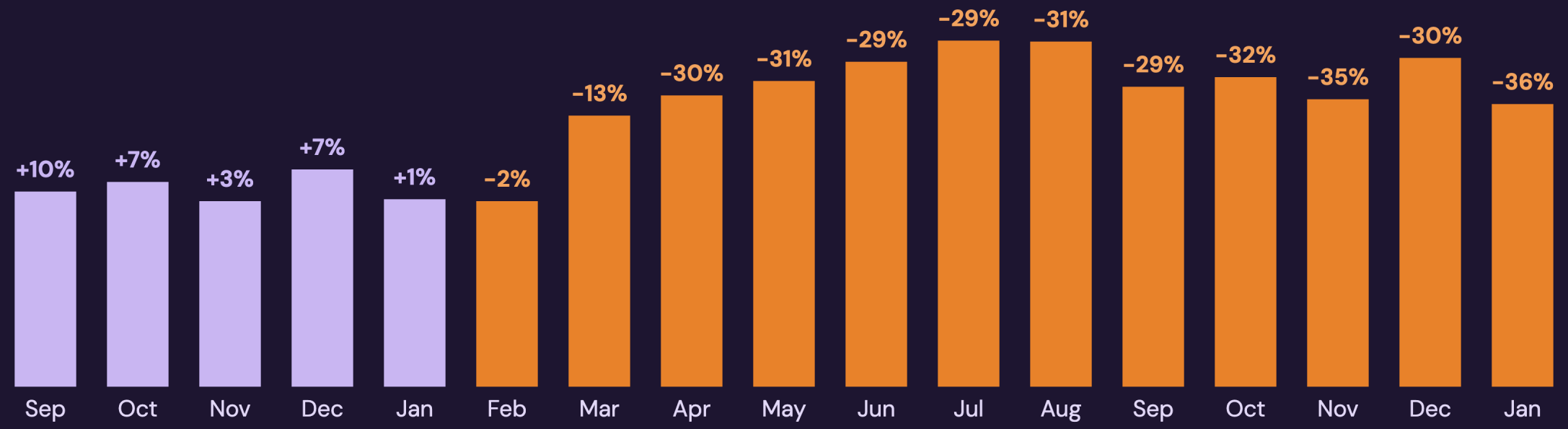
Appendix

When losses began · Route losses · Fuel, crew, refunds, rewards · Fare seasonality · Gate lease forecast · Operations savings · Data and method

WHEN IT TURNED

Losses began when flights ramped up

Profitable month Loss-making month Bar = flights per month · label = operating margin after gate costs



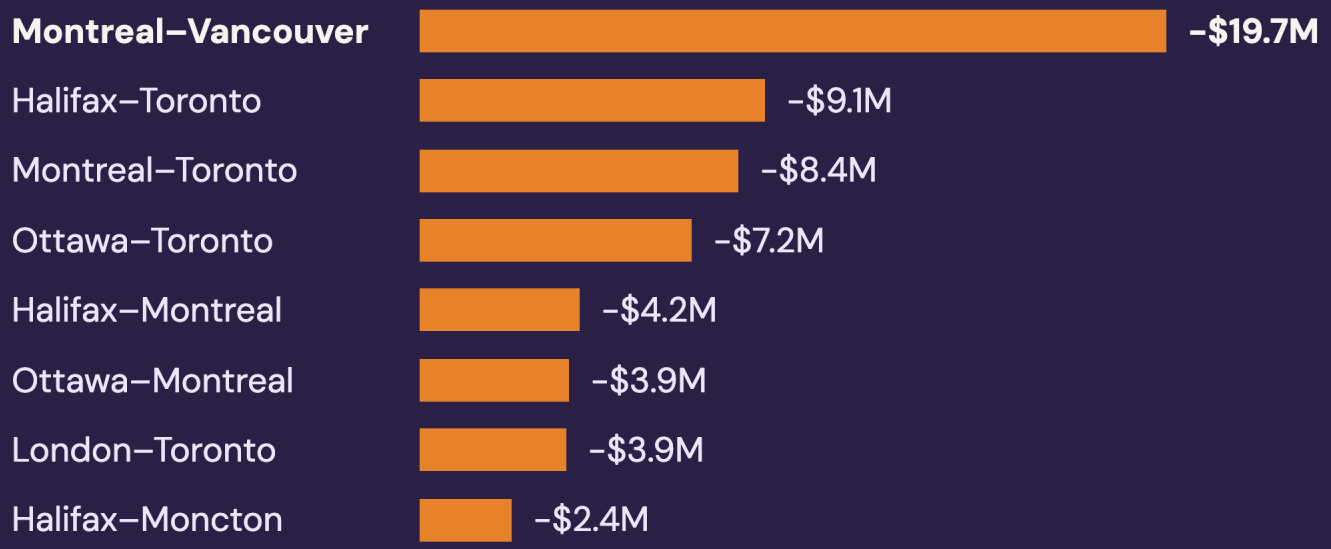
FY2024-25 · flights jump from ~800 to 1,157 a month in March

FY2025-26 (Sep–Jan)

WHERE THE MONEY IS LOST

A few corridors carry the losses

Worst 8 corridors, FY2025–26 (both directions; revenue − flight costs)



24 of 54

routes are profitable after gates; the bottom 10 cause 77% of all route losses

MARGIN AFTER GATES, FY26

Hub–Hub **-25.0%**
Hub–Regional **-34.6%**
Regional–Regional **-58.1%**

Profitable core: Calgary–Toronto, Calgary–Vancouver and Vancouver–Toronto carry the network

FUEL, CREW, REFUNDS, REWARDS, ANCILLARY, CONNECTIONS

The other factors are real but smaller

FUEL & CREW PRICES

-$5.4M

Crew +4.1% and fuel +3.1% per flight. About 15% of the decline.

REFUNDS

+17%

To $7.83M. Atlantic and northern routes refund 9.3% of ticket revenue vs 3.0% elsewhere; winter is worst.

NORTHBYTE REWARDS

≈ $1,030

Average fare for members and non-members alike. No sign rewards are driving the losses.

ANCILLARY REVENUE

2.1%

of net revenue ($3.97M, about $21 per ticket). Growing 10% adds only $0.4M.

CONNECTING PASSENGERS

7.0%

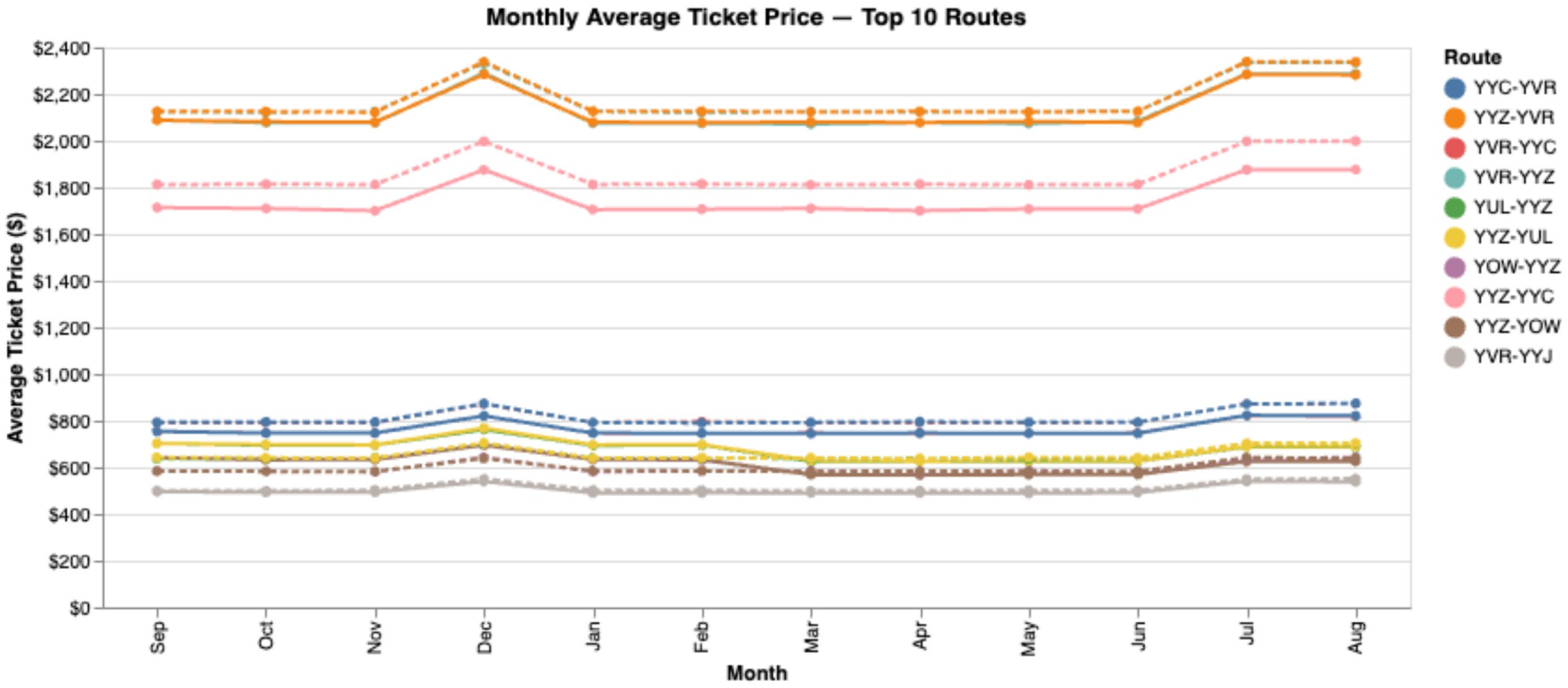
of revenue from 3.7% of bookings, mostly via Toronto and Calgary. Montreal–Vancouver has none.

Takeaway

Price, refund and loyalty fixes help at the margin. Capacity is the lever that moves the result.

APPENDIX · PRICING EVIDENCE

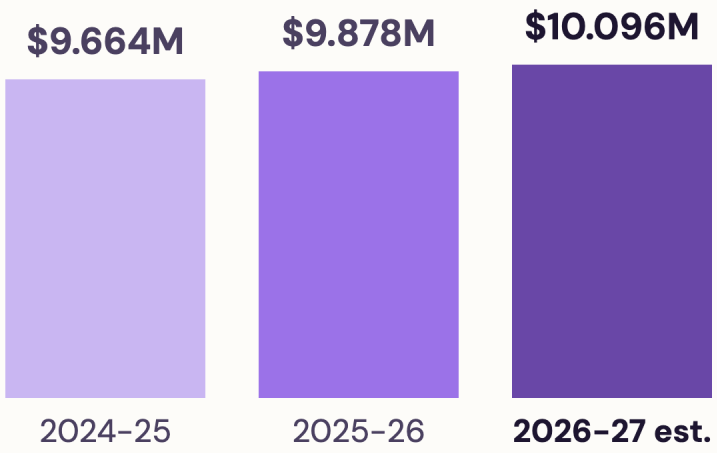
Fares change only twice a year



Average fares on the top 10 routes stay flat September–November and January–June, stepping up only in December and July–August. Monthly transactions still swing by about 20%. Solid = FY2024-25, dashed = FY2025-26.

GATE LEASES

We expect $10.10M in 2026-27



+2.21% a year, network-wide

Range: $9.88M (flat) to $10.19M (+3.2%)

Hubs rise fastest: Toronto, Montreal and Vancouver +2.5%

Assumption: each airport repeats its own 2024-25 → 2025-26 % change, same gate inventory. Fiscal-year cost = 4/12 of the old lease year + 8/12 of the new one.

PAYING FOR EMPTY GATES

$442K

2026-27 cost of Halifax A3 and Ottawa A2, which have no routes assigned

Leases are fixed for the year: cutting flights does **not** cut gate costs. Savings need releasing, consolidating or renegotiating gates at the January 1 renewal.

RECOMMENDATION 4 · MONTHS 7–12

Tighten operations and gates

FUEL & CREW

$3.16M

2% saving on $158M of fuel and crew through better aircraft and crew scheduling, and moving them to stronger routes

IDLE GATES

$0.44M

Release or sublease Halifax A3 and Ottawa A2 at the January 1 renewal; renegotiate gates that flight cuts leave underused

AVOIDABLE REFUNDS

$0.78M

10% fewer refunds through winter schedule buffers on Atlantic and northern routes. The refund promise itself stays.

Up to ~$3.6M from fuel, crew and gates (plus refunds). Not counted in our total: these savings may overlap with the route changes.

APPENDIX

Data, method and assumptions

DATA

558,129 transactions, 28,801 flights (4 cost types each), 112 gate rows; Sep 2024–Aug 2026. Fiscal year runs Sep 1–Aug 31.

CLEANING

Costs combined to one row per flight; shared gates counted once; refunds kept as negative revenue; a booking with 2+ routes is “connecting”.

ROUTE PROFIT

Route revenue − its flights’ costs − a gate share: each airport’s gate cost split evenly across flights departing it. Corridors = both directions.

GATE COSTS

Fiscal-year cost = 4/12 of the old lease year + 8/12 of the new one. Missing 2026-27 lease: each airport repeats its own growth.

SAVINGS MODEL

Avoidable cost of a cut flight: 100% of fuel and food, 80% of crew, 90% of maintenance. Gates fixed. Net = avoidable cost − ticket revenue not rebooked.

LIMITS

Ticket counts are not seat occupancy; no seat capacity or points-liability data; bus contract and perk costs are estimates.